

CITATION: LIBAB v. CITY OF KITCHENER et al, 2014 ONSC 6365
COURT FILE NO.: C-1098-12
DATE: 2014/11/3

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: ANDU LIBAB, Plaintiff

AND:

THE CITY OF KITCHENER, 30 DUKE STREET LIMITED and SETMAN
HOLDINGS LIMITED, Defendants

BEFORE: The Honourable Justice David A. Broad

COUNSEL: G. Reitzel, for the Plaintiff

B. Halfin, for KITCHENER-WILMOT HYDRO INC.

HEARD: October 31, 2014

ENDORSEMENT

[1] The Plaintiff moves for leave to amend his Statement of Claim to add Kitchener-Wilmot Hydro Inc. (“KWHI”) as a defendant. KWHI resists the motion on the basis that the limitation period for commencement of an action against it has expired.

Background

[2] The plaintiff seeks damages for personal injuries arising out of a slip and fall that occurred on November 20, 2011 on a sidewalk on Ontario Street in front of a building municipally known as 30 Duke Street West in Kitchener. The existing defendants are the City of Kitchener (the “City”) which owns and maintains the sidewalk, 30 Duke Street Limited (“Duke Ltd.”), the owner and occupier of the adjacent property and Setman Holdings Limited (“Setman”), the manager of the adjacent property.

[3] There was a metal grate located in the area of the sidewalk where the slip and fall occurred. By letter dated December 10, 2013, counsel for the City wrote to counsel for the plaintiff advising that it appeared the ice formed due to a defect in the concrete collar around a grate covering a hydro vault and that KWHI was responsible for maintenance of the concrete collar and the grate covering the Hydro vault. He suggested that the plaintiff amend his claim to name KWHI as a defendant.

[4] The plaintiff immediately brought a motion, on notice to KWHI, for leave to amend the statement of claim to add it as a defendant. KWHI served no affidavit material in response to the motion.

[5] In the original affidavit dated December 12, 2013 in support of the motion, Mark S. Grossman, the lawyer for the plaintiff, deposed that on December 10, 2013 the plaintiff learned that according to the City, the concrete collar around the grate covering a Hydro vault at the location where the plaintiff fell was to be maintained by KWHI and not by the City. He went on to depose that given this new information the plaintiff wishes to amend the statement of claim to add KWHI as a defendant.

[6] By a supplementary affidavit dated March 21, 2014 Mr. Grossman deposed as follows:

- a. he personally attended at the location of the slip and fall and inspected the grate on the sidewalk and found that ownership of the grate or the purpose of the grate was not marked and when he looked down into the grate he could not see what was below;
- b. on December 20, 2012 he had a telephone conversation with an adjuster for the insurer of Setman, who advised him that Setman was not responsible for maintaining the sidewalk, however it was never indicated that KWHI was the responsible party;

- c. he conducted a title search of the property adjacent to the sidewalk to confirm that it was owned by Duke Ltd. and there was no indication of Hydro easements or of KWHI having any involvement with the property;
- d. in January, 2013 he met with an insurance adjuster for the City who made no mention of the fact that the grate was a hydro grate nor that maintenance of the area was not the responsibility of the City and in follow-up correspondence the City's adjuster referred to the City attending to winter maintenance to the subject sidewalk;
- e. he retained an engineering expert to perform an assessment of the sidewalk and to report on any deficiencies that may have caused the plaintiff to slip and fall. The expert found that the concrete in the area of the grate had several breaks, chips and settled areas which caused water to puddle. The engineering expert did not indicate that KWHI owned the grate and made no reference to the specific purpose of the grate;
- f. he took all reasonable steps to confirm that the correct parties were named, however he was unable to discover the identity of KWHI until the lawyers for the City notified him that the grate was covering a hydro vault and maintenance of the concrete collar around the grate was the responsibility of KWHI.

[7] Mr. Grossman was cross-examined on his affidavits in which he acknowledged that his original affidavit and supplementary affidavit identified all of the steps taken by him to determine who the proper defendants were to the action and that no further letters, telephone calls, searches or other inquiries of any kind were made.

Position of the Plaintiff

[8] The plaintiff's position is that the limitation period under the *Limitations Act, 2002*, S.O. 2002, C.24, Sch. B (the "Act") has not expired as against KWHI as his claim against it was not discovered until receipt of the letter from the lawyer for the City on December 10, 2013.

Position of KWHI

[9] The position of KWHI is that the action against it is barred by sections 4 and 21 of the Act. Section 4 provides that unless otherwise provided, a proceeding shall not be commenced in respect of a claim after the second anniversary of the day on which the claim was discovered and section 21 provides that if a limitation period in respect of a claim against a person has expired, the claim shall not be pursued by adding the person as a party to any existing proceeding.

[10] KWHI points to section 5(1)(b) of the *Act* which provides that, regardless of when the claim was actually discovered by the plaintiff, he is deemed to have first known of the existence of the claim on the day on which a reasonable person with the abilities and in the circumstances of the plaintiff first ought to have known of the matters referred to in clause 5(1)(a). These matters are (i) the injury, loss or damage had occurred, (ii) it was caused by or contributed to by an act or omission, (iii) the act or omission was that of the of the person against whom the claim is made, in this case KWHI; and (iv) having regard to the nature of the injury, loss or damage, a proceeding would be an appropriate means to seek to remedy it.

[11] Section 5(2) of the *Act* provides that a person with the claim shall be presumed to have known of the matters referred to in clause 5(1)(a) on the day the act or omission on which the claim is based took place, unless the contrary is proved.

[12] KWHI submits that the plaintiff has not satisfied the evidentiary burden on him to provide a reasonable explanation as to why KWHI's identity as a defendant was not obtainable, in order to rebut the presumption in section 5(2) of the *Act*.

Analysis

[13] The applicable principles to be applied on a motion of this nature were not seriously in dispute and were set out by Master Dash in the case of *Wakelin v. Gourley* (2005) 76 O.R. (3d) 272 (Master), relying on his earlier case of *Wong v. Adler* (2004), 70 O.R. (3d) 460 (Master). Justice Taylor succinctly summarized the principles from *Wakelin* in the case of *Hamilton (City) v. Svedas Koyanagi Architects* [2009] O.J. No. 1039 (S.C.J.) at para. 11 where he stated that “it is incumbent upon the plaintiff to lead some evidence of the steps taken to ascertain the identity of the responsible party and provide some explanation as to why such information was not obtainable with due diligence before the expiry of the limitation period.” He confirmed that it was not a high threshold, however, if the plaintiff fails to provide any reasonable explanation that could, on a generous reading, amount to due diligence, the motion will be denied.

[14] Mr. Halfin argues that Mr. Grossman made certain assumptions as to the parties responsible for the maintenance of the grate and the concrete collar around the grate where the incident occurred. He submits that reliance on those assumptions did not demonstrate due diligence, and that Mr. Grossman should have done more to ascertain whether there were other parties responsible, such as writing to the City to ask whether there were any other parties that had an interest in the grate or its concrete collar, or asking the insurance adjusters for both the City and Setman whether they knew the purpose of the grate or who was responsible for maintaining it.

[15] It is noteworthy that in the letter from the adjuster for the City dated January 14, 2013 it is stated “the city of Kitchener attends to winter maintenance on that section of Ontario Street as part of their coverage for what is referred to as the Downtown Core.”

[16] The report from the engineering expert retained by the plaintiff dated June 10, 2013 identified that the walkway in the area was chipped and a low spot in the area held water when it was raining and that freezing of this water would result in a layer of ice on the sidewalk as reported by the plaintiff. The expert stated that the sidewalk was in a poor state of repair with chips, settlement ledges and cracking observed. Included in the report was a photograph depicting an area of concrete surrounding the metal grate indicating the chipped areas where water could accumulate. In his report, the expert made no mention of a “collar” around the metal grate, referring to the concrete area adjacent to the metal grate as forming part of the sidewalk or walkway.

[17] I do not accept the argument of KWHI that Mr. Grossman’s assumption that the City, which acknowledged responsibility for maintenance of the concrete sidewalk, was also responsible for maintenance of the concrete collar around the grate was unreasonable. In my view, a reasonable person, and in particular a reasonable solicitor in the position of Mr. Grossman, would not be alert to the possibility that, for maintenance purposes, there would be any distinction between the area of concrete around the grate, described as a collar, and the rest of the sidewalk. Indeed, the engineering expert retained by the plaintiff made no such distinction.

[18] Any obligation, in the exercise of due diligence, to make inquiries as to the existence of any parties other than the City who might have responsibility to maintain the area of concrete around the grate would be dependent upon being alert to the possibility of a functional distinction between the area of concrete around the grate and the rest of the concrete sidewalk. In my view it was reasonable for Mr. Grossman to assume that the collar formed part of the concrete sidewalk, for which the City acknowledged responsibility for maintenance.

[19] In my view, the plaintiff has discharged his obligation to lead evidence of the steps taken to ascertain the identity of the party responsible to maintain the area of concrete in question and to provide an explanation as to why information disclosing the responsibility of KWHI was not obtainable with due diligence before the expiry of the limitation period.

Disposition

[20] For these reasons, the plaintiff's motion is allowed, and leave is granted to the plaintiff amend the Statement of Claim to add KWHI as a defendant. Leave is granted to KWHI to plead a limitation defence, if it is so advised.

[21] If the parties cannot agree on costs, the plaintiff may make brief written submissions as to costs within 21 days of the release of this endorsement. The KWHI has 14 days after receipt of the plaintiff's submissions to respond. The submissions shall not exceed three double-spaced pages exclusive of Bills of Costs and any Offers to Settle. All such written submissions are to be forwarded to me at my chambers at 85 Frederick Street, 7th Floor, Kitchener, Ontario N2H 0A7. If no submissions are received within this timeframe, the parties will be deemed to have settled the issue of costs as between themselves.

D.A. Broad J.

Date: November 3, 2014